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CONCEPTUALISED BY FORMER

Prime Minister Atal Bihari Vajpayee in 2000, it took more than 17 years of discussions and negotiations between the Centre and states for goods and services tax (GST) to finally see the light of day. Subsuming as many as 17 large taxes and 13 cesses at central and state levels, the implementation of GST from July 1, 2017, was seen as a combination of political wizardry and sound economics.

After all, making all of India's 29 states and seven Union territories (at that time) give up a large part of their fiscal autonomy and launch the One Nation One Tax, with different political parties helming different states, was no easy task.

Some of that strain was visible in the political compromises that were struck in light of concerns over income inequity, since the initial iteration of the tax would have meant taxing both essential goods and super luxury and sin goods at the same rate. In the end, the GST was rolled out with a five-rate structure and several exclusions both in terms of sectors and taxpayers.

"You cannot tax *hawai* chap-pals (rubber slippers) and rice at the same rate as a Mercedes. This is why GST had to have separate rates," a senior minister who was part of the discussions had noted at the time.

The solution was five slabs of GST—0%, 5%, 12%, 18% and 28%, along with a compensation cess on sin goods, luxury cars and aerated drinks, among others.

Vijay Kelkar, Chairman of the 13th Finance Commission and former finance secretary, who headed the eponymous Kelkar Task Force on indirect tax reforms way back in the early 2000s, had also suggested a comprehensive GST based on the value added tax (VAT) principle. He has also been a firm supporter of a single GST rate along with a nil rate for exempt items and believes that moving to a 12% standard and single rate is the best way forward.

"GST should have a single rate of 12%, which would make the tax simple and easy to comply with. This can be done by moving goods and services in the current slabs of 5% and 18% to the 12% slab," he says.

A similar suggestion was made by a committee headed by the then Chief Economic Adviser Arvind Subramanian on possible rates under the GST. Its report to the finance minister in December 2015 had suggested a revenue neutral rate of 15-15.5%. It had, however, suggested a two-rate structure of 12% and 17-18%.

The original GST Council had felt that as the new tax system stabilised, it would be tweaked to include the excluded services and come down to, perhaps, a three-rate structure—0% on excluded items, a standard rate on most goods and services, and a high rate

THE BIG-BANG REFORM

- ▶ One of the biggest economic reforms, GST was launched on July 1, 2017
- ▶ Eight years on, there is discussion on removing at least the 12% rate slab from the current five-rate structure
- ▶ There are also suggestions to further rationalise the rates and subsume excluded items like petroleum products and real estate
- ▶ But states have aired concerns over the potential loss of revenues from these moves
- ▶ There is a view to let the tax stabilise and ensure certainty and stability to businesses

GST COUNCIL AT WORK

55

NUMBER OF MEETINGS OF THE GST COUNCIL

1,200+

NOTIFICATIONS ISSUED BY THE CENTRE AND STATES

15.2

MILLION
NUMBER OF REGISTERED TAXPAYERS

5

TAX SLABS FOR GST ALONG WITH ONE COMPENSATION CESS